US and other countries India managed to get a Nuclear Suppliers Group (NSG) waiver. The 123 Agreement was rectified. The ultimate result was that India and USA struck the historic nuke deal.

In July 2009, Hillary Clinton, the US Secretary of State paid a visit to India to further boost the Indo-US relations. Indo-US relations saw new developments with Manmohan Singh's four-day visit to the US in November 2009. The visit was followed by high level talks on strengthening cooperation on various global and regional issues like counter-terrorism, counter-intelligence to prevent Mumbai-type attacks, implementation of the Indo-US civil nuclear deal to mention a few. The US President, Barack Obama acclaimed India as an "indispensable partner" as both nations would strive to build a future of security and prosperity for all nations. Thus, a new phase of 'strategic partnership' between India and USA took off. In November 2009 only, India and US signed the India-US Counter Terrorism Initiative which aims at strengthening cooperation to counter terrorism.

The Indo-US Strategic Dialogue took place on 3 June 2010 when Foreign Minister S.M. Krishna visited the United States. Recognizing India as a "rising global power", the US Secretary of State, Hillary Clinton declared that the USA today was definitely committed "to consider India's bid for a permanent seat in the UNSC." The US President Obama's visit to India from 6–9 November 2010, further brought the two countries closer. President Obama expressed US support for India's membership to multilateral export control regimes like NSG, MTCR, the Australian Group (AG) and the Wassenaar Arrangement (WA) in a phased manner and removal of India's defence and space related entities from the US 'Entity List'. (see pages 387–388)

India's Minister of External Affairs, S.M. Krishna and the US Secretary of State Hillary Rodham Clinton met in New Delhi on 19 July 2011, for the second Annual Meeting of the India-US Strategic Dialogue. Three focal areas of interaction were highlighted by Ms. Clinton. They are—lower tariff barriers along with further opening of markets, involving India in maritime security and selling equipment especially to the Navy and civil nuclear cooperation.